

PRA Glossary - P

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parent undertaking

(in the Solvency II Firms Sector of the PRA Rulebook) means an undertaking which has the following relationship to another undertaking ('S'):

- (1) it holds a majority of the voting rights in S; or
- (2) it is a member of S and has the right to appoint or remove a majority of its board of directors; or
- (3) it has the right to exercise a dominant influence over S through:
 - (a) provisions contained in S's memorandum or articles; or
 - (b) a control contract; or
- (4) it is a member of S and controls alone, under an agreement with other shareholders or members, a majority of the voting rights in S; or
- (5) (a) it has the power to exercise, or actually exercises, dominant influence or control over S; or (b) it and S are managed on a unified basis; or
- (6) it is a parent undertaking of S; or
- (7) where it effectively exercises a dominant influence over S; and
- (8) in relation to (2) and (4), the undertaking will be treated as a member of S if any of its subsidiary undertakings is a member of S, or if any shares in S are held by a person acting on behalf of the undertaking or any of its subsidiary undertakings;
- (9) the provisions of Schedule 7 to the Companies Act 2006 (Parent and subsidiary undertakings: supplementary provisions) explain the expressions used in and supplement paragraphs (1) to (6).

[Note: Art. 212(2) of the Solvency II Directive]

Part 4A permission

means a permission given by the FCA or PRA under Part 4A of FSMA (Permission to carry on regulated activities), or having effect as if so given.

partial internal model

means an internal model that is:

- (1) used to calculate one or more of the following:
 - (a) one or more risk modules, or sub-modules, of the basic SCR;
 - (b) the capital requirement for operational risk set out in Solvency Capital Requirement - Standard Formula 5;
 - (c) the adjustment for the loss-absorbing capacity of technical provisions and deferred taxes set out in Solvency Capital Requirement - Standard Formula 6;
- or
- (2) applied to the whole of a firm's insurance business, or only to one or more major business units.

[Note: Art. 112(2) of the Solvency II Directive]

participating UK Solvency II firm

This defined term is effective from 23:00 on 31/12/2020. means a UK Solvency II firm that holds a participation in another undertaking.

participating undertaking

The changes to this defined term are effective from 23:00 on 31/12/2020. means an undertaking that holds a participation in another undertaking or an undertaking linked with another undertaking by a common management relationship. [Note: Art. 212(1)(a) of the Solvency II Directive]

participation

(in the Solvency II Firms Sector of the PRA Rulebook) means: (1) the ownership, direct or by way of control, of 20% or more of the voting rights or capital of an undertaking; or (2) where an undertaking which holds, directly or indirectly, voting rights or capital in another undertaking over which it effectively exercises a significant influence. [Note: Art. 13(20) and 212(2) of the Solvency II Directive]

partner

means (in relation to a firm which is a partnership) any person appointed to direct its affairs, including: (1) a person occupying the position of a partner (by whatever name called); and (2) a person in accordance with whose directions or instructions (not being advice given in a professional capacity) the partners are accustomed to act.

partnership

This term is defined externally, please refer to: s417(1) FSMA

partnership scheme

This term is defined externally, please refer to: s235A(5) FSMA

Payment Services Regulations

means the Payment Services Regulations 2017 (SI 2017/752).

payment system

has the meaning given in section 182 of the Banking Act 2009.

pension contract

means a contract under which rights to benefits are obtained by the making of contributions to an occupational pension scheme or to a personal pension scheme, where the contributions are paid to a regulated collective investment scheme.

pension opt-out

has the meaning given in the PRA Handbook as at 31 July 2015.

pension policy

means a contract under which a right to benefits results from contributions made to an occupational pension scheme or to a personal pension scheme, where the contributions are paid to an insurer.

pension scheme

means a scheme under which a right to benefits results from contributions made under a pension contract or pension policy.

pension transfer

has the meaning given in the PRA Handbook as at 31 July 2015.

permanent health

means the class of contract of insurance, specified in paragraph 4 of Part 2 of Schedule 1 to the Regulated Activities Order.

permanent share capital

has the meaning set out in Insurance Company - Capital Resources 5.1.

permission

means permission to carry on regulated activities.

person

This term is defined externally, please refer to: Interpretation Act 1978 Schedule 1

person connected with a critical third party

has the same meaning as in section 312P(10) of FSMA, and the reference to any relevant time means any time relevant for the application of the relevant rule.

personal pension scheme

has the meaning provided in Article 3(1) of the Regulated Activities Order.

phasing-in plan

means the phasing-in plan required to be submitted by a firm to the PRA: (1) in relation to a firm with approval to use the risk-free interest rate transitional measure, under Transitional Measures 12.1; and (2) in relation to a firm with TMTP Permission, under Transitional Measure on Technical Provisions 7.1.

policy

has the meaning given in article 2 of the Financial Services and Markets Act 2000 (Meaning of "Policy" and "Policyholder") Order 2001 (SI 2001/2361).

policyholder

either: (1) means, in respect of a contract of insurance where the insurance undertaking is a UK Solvency II firm or a third country branch undertaking, a policyholder which includes a beneficiary; or (2) has the meaning given in article 3 of the Financial Services and Markets Act 2000 (Meaning of "Policy" and "Policyholder") Order 2001 (SI 2001/2361).

policyholder protection scheme

means the compensation scheme for claims under contracts of insurance.

PPFM

means the Principles and Practices of Financial Management which a firm carrying on with-profits insurance business must establish, maintain and record under COBS 20.3 of the FCA Handbook.

PRA

means the Prudential Regulation Authority.

PRA approved intermediate holding company

means a financial holding company or mixed financial holding company within the meaning of points (20) and (21) respectively of Article 4(1) of the CRR that this not a UK parent financial holding company or a UK parent mixed financial holding company and that is approved under Part 12B of FSMA.

PRA approved parent holding company

The changes to this defined term are effective from 23:00 on 31/12/2020. means a UK parent financial holding company or UK parent mixed financial holding company that is approved under Part 12B of FSMA.

PRA approved person

means a person approved by the PRA under section 59 of FSMA (Approval for particular arrangements) to perform a PRA senior management function.

PRA designated institution

means a CRR firm that is designated under Part 12B of FSMA or regulation 5(5) of the Financial Holding Companies (Approval etc.) and Capital Requirements (Capital Buffers and Macro-prudential Measures) (Amendment) (EU Exit) Regulations 2020.

PRA designated intermediate holding company

means a financial holding company or mixed financial holding company within the meaning of points (20) and (21) respectively of Article 4(1) of the CRR that this not a UK parent financial holding company or a UK parent mixed financial holding company and that is designated under Part 12B of FSMA.

PRA designated parent holding company

The changes to this defined term are effective from 23:00 on 31/12/2020. means a UK parent financial holding company or UK parent mixed financial holding company that is designated under Part 12B of FSMA.

PRA Handbook

means the PRA's Handbook of rules and guidance.

PRA senior management approval application

means an application to perform a PRA senior management function under section 59 of FSMA.

PRA senior management function

means: (1) in respect of a CRR firm, a credit union and a third country CRR firm a function specified as a controlled function in Senior Management Functions 2 in relation to the carrying on of regulated activity by a firm. (2) (in respect of a UK Solvency II firm, the Society, a managing agent, a third country branch undertaking (other than a Swiss general insurer) and a UK ISPV) that aspect of any key function relating to the carrying on of regulated activity by the firm, which is specified by the PRA in Insurance - Senior Management Functions 3 to 10 and 12 pursuant to section 59 of FSMA. (3) (in respect of a small non-directive insurer) any function which is specified by the PRA in Non-Solvency II Firms - Senior Management Functions 3 to 5 pursuant to section 59 of FSMA. (4) (in respect of a large non-directive insurer and a Swiss general insurer) any function which is specified by the PRA in Large Non-Solvency II Firms - Senior Management Functions 3 to 9 pursuant to section 59 of FSMA. (5) (in respect of a third country insurance service provider in relation to the carrying on by the firm of regulated activity in the UK) any function specified in Insurance - Senior Management Functions 3 to 10.

PRA senior management function holder

means a person who has been approved to perform a PRA senior management function in respect of the firm.

PRA-authorised person

This term is defined externally, please refer to: FSMA s2B(5)

pre-Solvency II MCR

means the minimum capital requirement that applied to the UK Solvency II firm under PRA rules as at 31 December 2015.

preference share

means a share conferring preference as to income or return of capital which does not form part of the equity share capital of an undertaking.

premium

means the consideration payable under a contract of insurance by the policyholder to the insurer.

premiums amount

means an amount, as defined in Insurance Company - Capital Resources Requirements 8.1, used in the calculation of the general insurance capital requirement.

Principles for Financial Market Infrastructures

means the Principles for Financial Market Infrastructures issued by the Committee on Payment and Market Infrastructures and the International Organisation of Securities Commissions in April 2012.

probability distribution forecast

means a mathematical function that assigns a probability of realisation to an exhaustive set of mutually exclusive future events.[Note: Art. 13(38) of the Solvency II Directive]

professional client

has the meaning given in the FCA Handbook as amended from time to time.

proper valuation

means, in relation to land, a valuation made by a qualified valuer not more than three years before the relevant date which determined the amount which would be realised at the time of the valuation on an open market sale of the land free from any mortgage or charge.

property-linked benefits

means benefits other than an index-linked benefit: (1) provided for under a linked long-term contract of insurance; and (2) determined by reference to the value of, or income from, property of any description (whether specified in the contract or not).

property-linked liabilities

means insurance liabilities in respect of property-linked benefits.

proportional share

means, in relation to an affiliated company, the percentage which is the percentage holding (directly or indirectly) in the affiliated company's capital.

protected claim

means a claim which is covered by the policyholder protection scheme as defined in Policyholder Protection 9.1.

prudential context

means, in relation to activities carried on by a firm, the context in which the activities have, or might reasonably be regarded as likely to have, a negative effect on: (1) the safety and soundness of the firm; or (2) the ability of the firm to meet either: (a) the "fit and proper" test in threshold conditions 4E and 5E (Suitability); or (b) the applicable requirements and standards under the regulatory system relating to the firm's financial resources.

pure protection contract

means: (1) a long-term insurance contract in respect of which the following conditions are met: (a) the benefits under the contract are payable only on death or in respect of incapacity due to injury, sickness or infirmity; (b) the contract has no surrender value, or the consideration consists of a single premium and the surrender value does not exceed that premium; and (c) the contract makes no provision for its conversion or extension in a manner which would result in it ceasing to comply with (a) or (b); or (2) an insurance contract covering all or part of a risk to which a person is exposed

under along-term insurance contract.

pure reinsurer

means an insurer whose insurance business is restricted to reinsurance.